

be withdrawn tax-free for certain educational purposes. Of course, there are also disadvantages to iBonds. First, investors are limited to \$5,000 per year per person. Second, iBonds cashed in before five years are subject to a three-month earnings penalty.

TIPS and iBonds are designed to protect investors from an unexpected jump in inflation. Since there are no inflation-adjusted bonds in the Barclays Capital U.S. Aggregate Bond Index, TIPS and iBonds can be added to the list of potential fixed-income investments to place in your portfolio.

FOREIGN MARKET DEBT

The global bond market is huge. At about \$65 trillion, it has about the same market value as the global stock market. Half of the world's tradable fixed-income securities are denominated in U.S. dollars, and the other half are denominated in foreign currencies.

Countries are categorized into two broad types for investment purposes: developed markets and emerging markets. Developed markets are countries with advanced free-market economies and established financial markets. Emerging markets are less developed, with financial markets that may not be robust. There are index funds and ETFs available today that give you access to each type of foreign market debt at reasonable fees.

[Figure 8-9](#) illustrates the difference in annual return that has occurred between the Barclays Capital Aggregate Bond Index and the Citigroup Global Government Bond Index (unhedged) that includes U.S. Treasuries. When a global index is unhedged, it means that local currency returns are included in the index performance. A hedged index would factor out currency risk and assume that all bonds are issued in U.S. dollars.

I am not a big foreign bond advocate. These funds do provide some extra currency diversification; however, the cost of that diversification is high. The fees associated with foreign bond funds are two to three times higher than the cost of a U.S.-only bond fund. Those higher fees negate much, if not all, of the currency diversification benefit. This cost keeps me out of international bond funds.

FIGURE 8-9

Barclays Capital Aggregate Bond Market Index and Citigroup Global